



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 16

ARCHITECTURAL STRATEGY



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

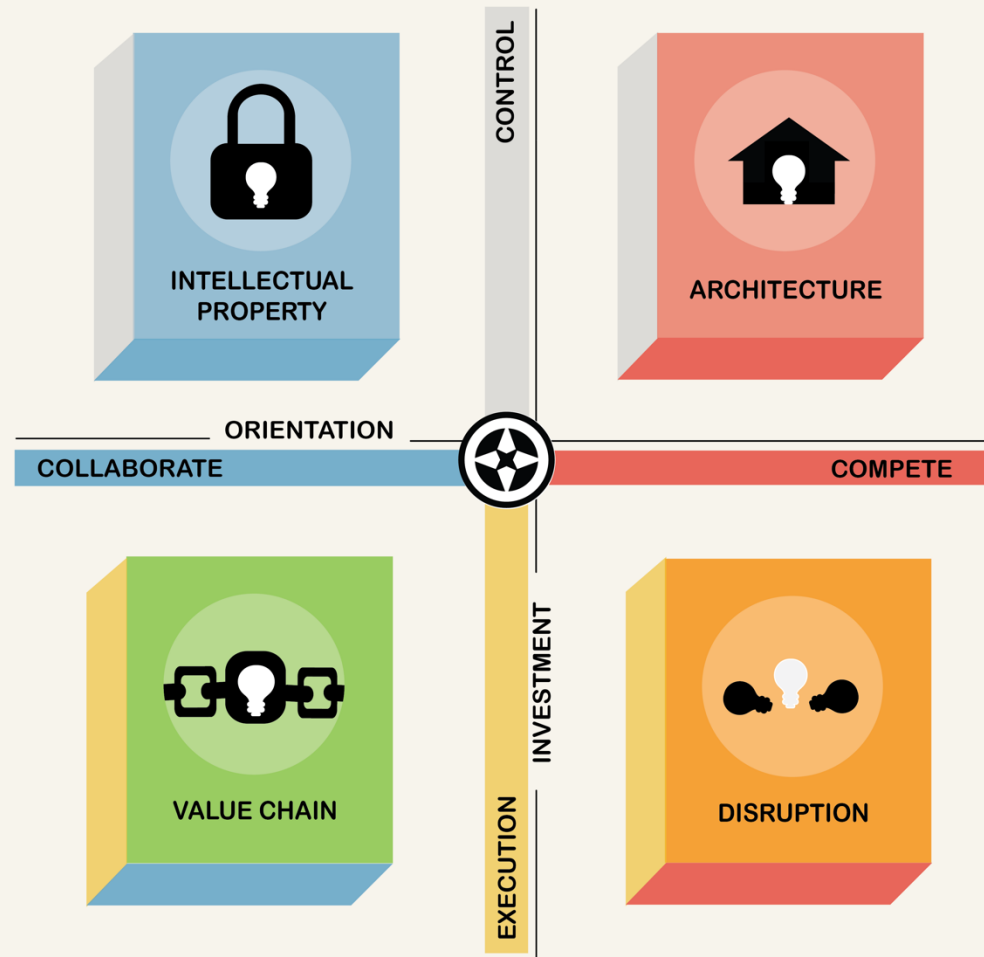
Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam

CHOOSING YOUR ENTREPRENEURIAL STRATEGY



Architectural strategy

- Architectural strategy requires entrepreneurs to invest in **control over their core idea**, while **taking an orientation towards competition** with established firms in the industry.
- The central challenge an architectural strategy entrepreneur faces is figuring out how the startup's idea can **deliver value to customers** while, at the same time, **maintaining control over their idea** as they **compete against incumbents** directly “on their own turf”.

Architectural strategy

- The architectural entrepreneur's idea can be translated into a **novel value chain** that creates demonstrable value for consumers, through:
 - lower cost,
 - greater value, or
 - a combination of both through connecting stakeholders together through a platform.
- The architectural startup also should be able to control the core idea through making strategic commitments to protect itself against inevitable competition from incumbents and entrants.

Bloomberg L.P.

- Michael Bloomberg, born in 1942
- Engineering background
- Fired from Wall Street in 1981
- Launched Bloomberg L.P., developing and leasing computer terminals that ran proprietary software which allowed traders to analyze and search through large quantities of real-time financial data
- Bloomberg L.P. retained actual ownership of the terminals, selling subscriptions on a per-user basis



Control in architectural strategy

- Investing in formal intellectual property
 - Patents
 - Trademarks
 - Copyrights
- Informal intellectual property
 - Trade secrecy
- Features that increase customer lock-in
 - Network effects (direct and indirect)
 - Complementarity with products/services



In the words of Warren Buffett, an “economic moat” around the idea

Two important factors in architectural strategy

- **Coring:** At the heart of any platform, there is a key technology that is the foundation for how all others are able to create value by working with the platform.
 - E.g., Google keyword auctions
 - **This core MUST be controlled.**
- **Tipping:** Move the strong market share for its platform
 - E.g., Microsoft v. Netscape browser wars



Annabelle
Gawer



Michael
Cusumano



The penguin effect:

You've got to get some consumers to "jump" into the adoption cycle

Tipping Tactics

- Sequence growth of the platform by focusing first on creating a compelling value proposition for one “side” of the market, and then expand to others over time
- Come to market early
- Favorable and transparent pricing
- Lower switching costs for early users
- Developing, or encouraging the development of, complementary products and services
- Building expectations for market acceptance and compatible innovation
- Opening the door to competition and enhancements within the architecture
- Making major, irreversible, commitments

Choosing your customer

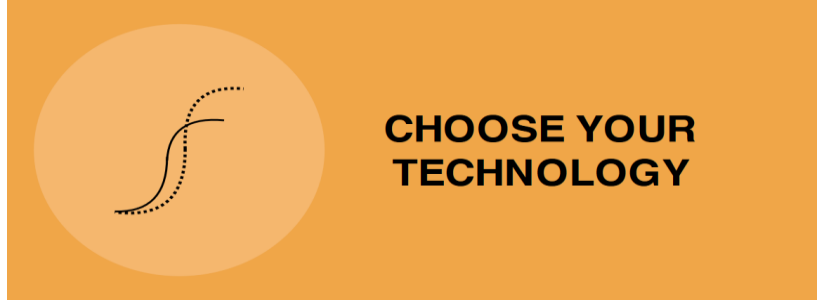


**CHOOSE YOUR
CUSTOMERS**

- Ideal customer characteristics include **high influencer value** and the ability to **serve as a reference case** for other customer segments such that the startup is well positioned to “cross the chasm.”
- Focus customer acquisition efforts on highly valued influencers.
- Killer apps are key!

The Facebook logo, consisting of the word "facebook" in white lowercase letters on a dark blue rectangular background.

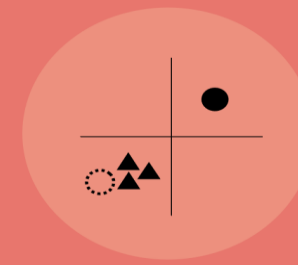
Choosing your technology



- An architectural entrepreneur should focus on a **new technology S-curve** that allows the startup to control the technology as it progresses rapidly in performance such that it can maintain leadership over potential rivals.
- The technology is not contributing to a “product” per se, but to a “platform”



Choosing your competition

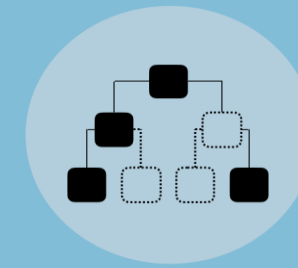


**CHOOSE YOUR
COMPETITION**

- Build an economic moat
- Must forecast what the incumbent response will be and prepare to safeguard their startup against the inevitable competition.
- The architectural founder needs to understand what part of their idea is the linchpin that they must invest in protecting.
- Must be able to identify on how many fronts they will choose to face competition.



Choosing your identity



**CHOOSE YOUR
ORGANIZATION**

- Build an organization that reflects what will remain an unchanged set of integrated resources.
- Since architectural strategy is far from execution (and therefore customers), customers and even investors may not like the idea at the beginning. It is important, however, that the entrepreneur remains committed to the idea.
- Often requires a significant amount of early investment. Consider even lobbying to pass new laws!



THANK YOU!